(ii) Most of the public debt in India is at fixed interest rates. Of the total outstanding dated securities, only *1.8 per cent* was on floating rate. Thus, interest payments are largely insulated from interest rate volatility, which provides stability to the Budget.

(iii) The average cost of the debt (interest payments/debt ratio) and interest payments as a percentage of revenue receipts are on a secular decline, though some rise was seen in the past two years. 'Ratio of interest payments to revenue receipts' has declined to around *36 per cent* in 2011-12 from about 50 per cent in the beginning of the 2000s.

## Consolidated General Government

The fiscal deficit of the Centre in 2012-13 is estimated to be at **5.2** per cent (RE) while for 2013-14 the target is of **4.8** per cent (BE) as per the *Union Budegt 2013-14*. Combined fiscal deficit of states has exhibited a modest 'deterioration' to 2.3 per cent of GDP in 2011-12 and is estimated to be around **2.0** per cent for 2012-13.

The fiscal outcome in terms of 'Consolidated General Government' (Centre and states combined, i.e., 'the fiscal deficit of the Indian economy') was at **8.1** per cent in 2011-12 (RE) as against 6.9 per cent in 2010-11. In 2012-13 (BE), it is budgeted to come down to **7.2** per cent of GDP. While there is a likely ***slippage of 0.2*** percentage point in terms of the Centre's target, the overperformance in states is expected to help in achieving the budgeted levels in the overall fiscal outcome in 2012-13.

## Prospects for the Future

The *Mid-Year Economic Analysis 2012-13* sought to allay concerns about the fiscal outcome for 2012-13 through allusion to the measures taken and indicated that the fiscal deficit for the year would be contained at **5.3** per cent of GDP. The outcome in April-December 2012 in terms of fiscal deficit broadly indicates that this is likely to happen notwithstanding the significant shortfall in revenue. The overall shortfall in *non-debt receipts* could be contained with ongoing greater efforts at mobilisation and *reforms* already in place. The longer-term outlook has already been outlined in